ITM MAHIDOL UNIVERSITY

Module 3

The ITIL Value System (ITIL VS)



Manutsiri Chansutthirangkool
CISSP, CIPM, CISM, CRISC, CEH, CHFI, ISO 27001 LI, ITILv4(f)

Syllabus

4.1 Components of the ITIL Value System

- 4.1.1 Know the components of the ITIL Value System and their role in an organization: guiding principles, governance, value chain, management practices, continual improvement (5.1)
- 4.1.2 Explain the ITIL Value System (ITIL VS) and its purpose (5.1)



Copyright © 2026 PeopleCert International Limited

What you will learn

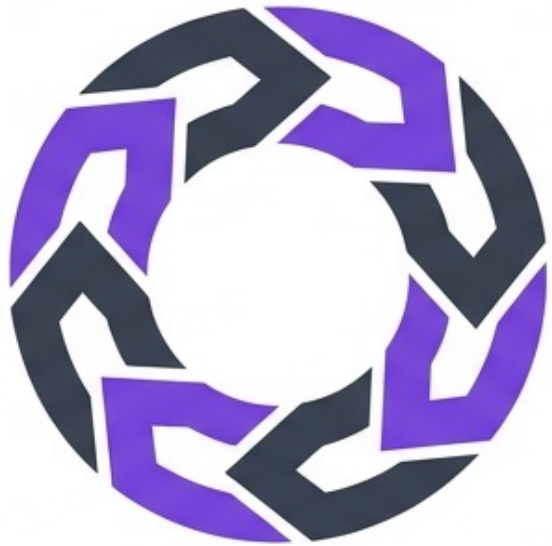
By the end of this module, you will be able to:

- know the components of the ITIL Value System and their role in an organization, including guiding principles, governance, the value chain, management practices, and continual improvement
- explain the ITIL Value System and its purpose in enabling value co-creation through products and services.



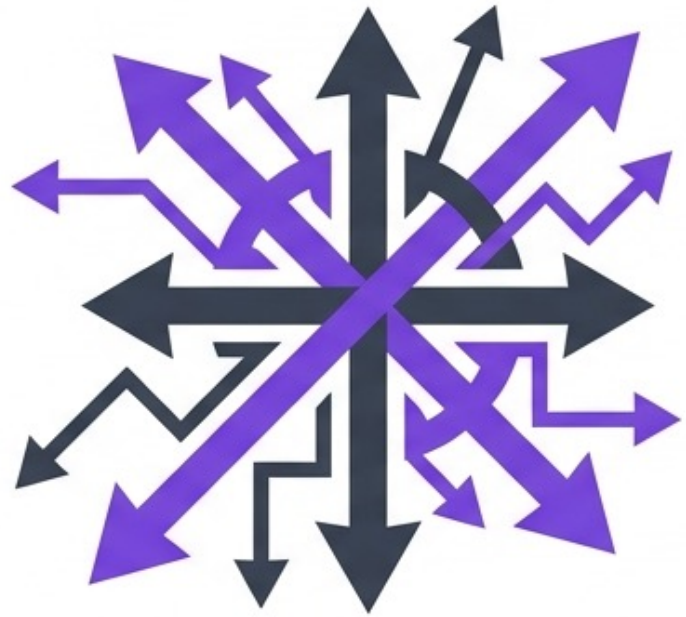
Copyright © 2026 PeopleCert International Limited

The Need for a Management System



Capabilities are not enough.

High-level product and service management capabilities (the lifecycle) cannot alone guarantee that agreed-upon outcomes are always created and supported.



The context is constantly changing.

Organizations require an overarching management system to continually review, adjust, and sustainably achieve objectives in dynamic environments.

NotebookLM

Management system

Management system

A system of interconnected elements that establish policy and objectives and enable the achievement of those objectives.

Elements of an organization's product and service management system include:

- **Guiding Principles**: universal recommendations for decisions and actions.
- **Value chain**: interconnected activities that create and deliver products and services.
- **Management practices**: sets of organizational capabilities designed for accomplishing specific objectives.
- **Continual improvement**: recurring activity at all organizational levels to ensure that the organization continually meets stakeholders' expectations.



Copyright © 2026 PeopleCert International Limited

Governance and digital technology

Governance of digital technology: a governance system focused on the current and future use of digital technology. The system comprises:

- **directing**
- **overseeing**
- **accountability.**



Copyright © 2026 PeopleCert International Limited

The ITIL Value System (ITIL VS)

ITIL Value System (ITIL VS)

A model representing how all the components and activities of an organization work together to facilitate value creation through digital products and services.

Each organization's ITIL VS interfaces with other organizations. It forms an ecosystem that can in turn facilitate value for those **organizations,** their **customers,** and other **stakeholders.**

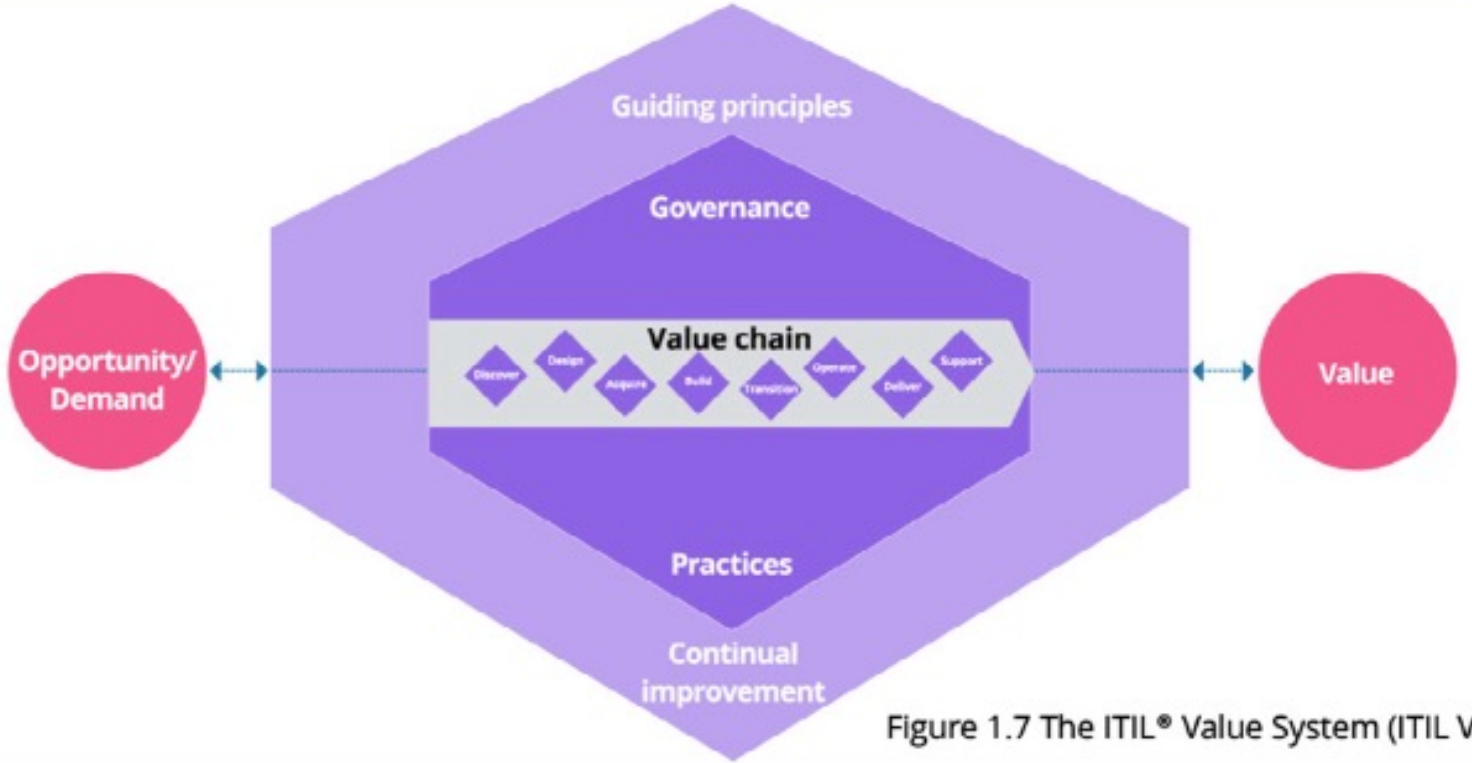


Figure 1.7 The ITIL® Value System (ITIL VS)

PeopleCert | ITIL® Foundation
Copyright © 2026 PeopleCert International Limited

The ITIL Value System | Purpose

The **purpose** of the ITIL VS is to ensure that the organization continually and sustainably co-creates value with all stakeholders through the use and management of products and services.

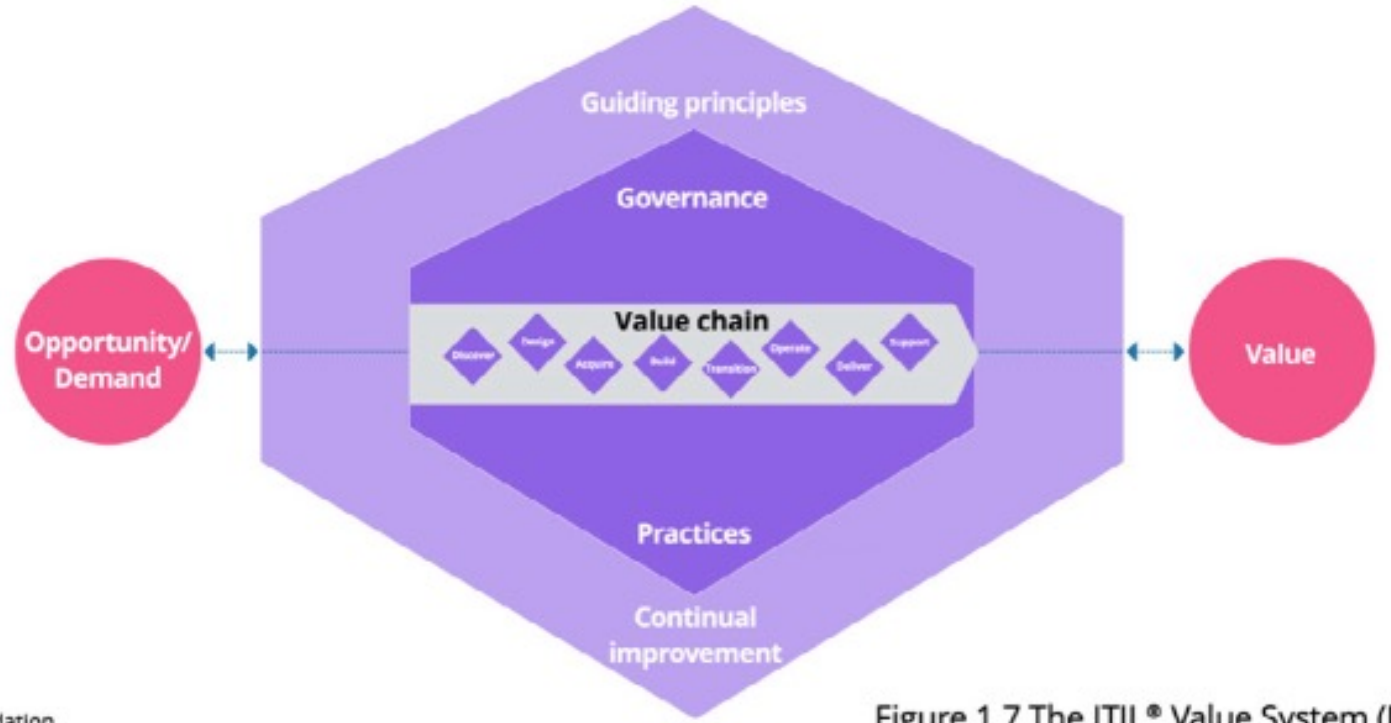


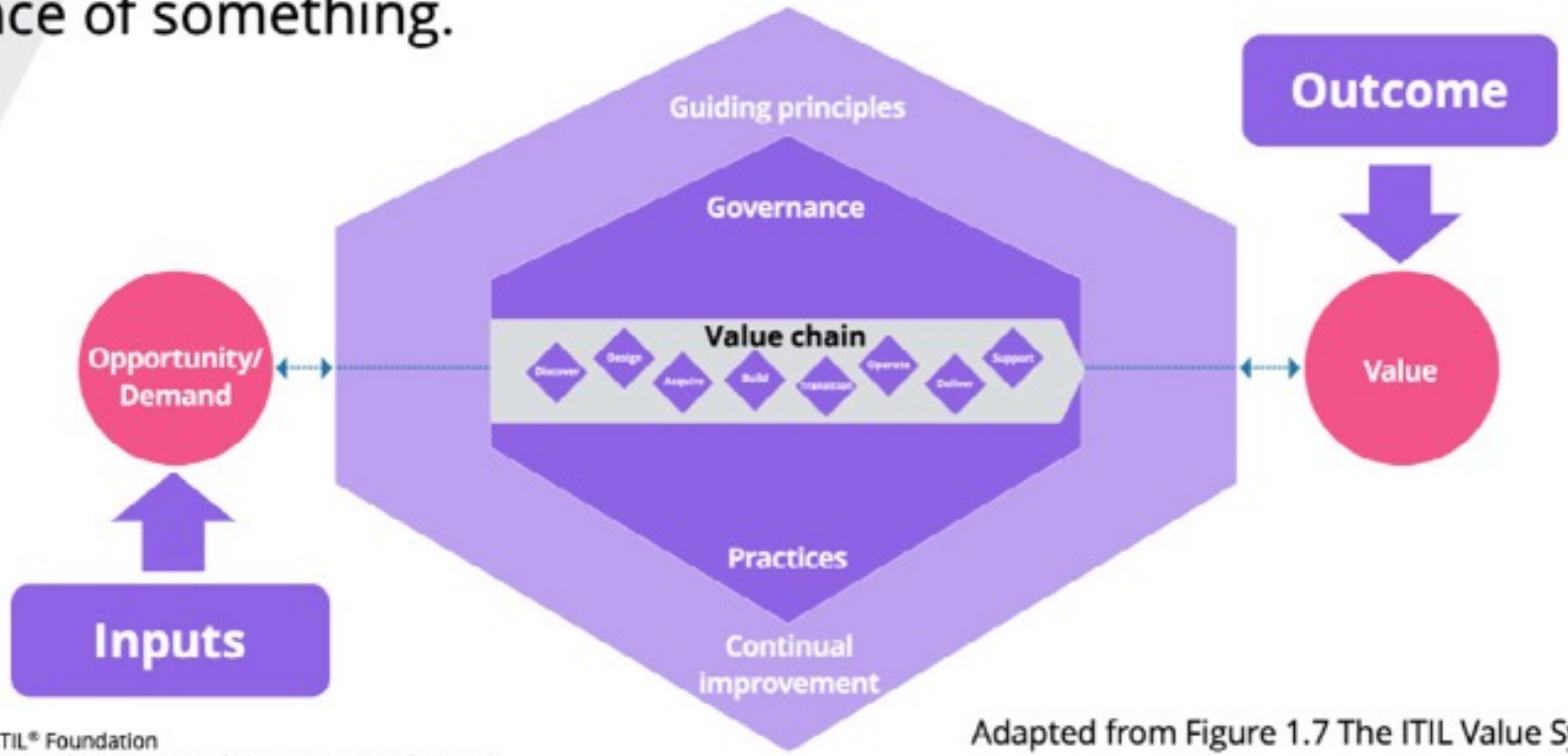
Figure 1.7 The ITIL® Value System (ITIL VS)

PeopleCert | ITIL® Foundation
Copyright © 2026 PeopleCert International Limited

ITIL VS | Inputs and outcome

The key **inputs** to the ITIL VS are **opportunity** and **demand.**

The **outcome** of the ITIL VS is **value.** It is the perceived benefits, usefulness, and importance of something.



Adapted from Figure 1.7 The ITIL Value System (ITIL VS)

PeopleCert | ITIL® Foundation
Copyright © 2026 PeopleCert International Limited

Recap: Key learning points

- The purpose of the ITIL Value System (ITIL VS) is to ensure organizations **continually co-create value** with stakeholders through products and services.
- The ITIL VS integrates **five core components**: Guiding Principles, governance, the service value chain, management practices, and continual improvement.
- The ITIL VS transforms inputs of opportunity and demand into **outcomes of value**.
- All components of the ITIL VS work **together** to enable value creation and continual alignment with organizational objectives.
- The ITIL VS connects with other organizations, forming an **ecosystem** that supports collaboration and value delivery.



Copyright © 2026 PeopleCert International Limited

Quiz

Questions:

1. Which ITIL concept includes governance, practices, and continual improvement?
   A. The ITIL Value System
   B. The ‘deliver and support’ value chain activities
   C. The ‘focus on value’ ITIL Guiding Principle
   D. The ‘value stream and processes’ dimension

2. Which set **CORRECTLY** lists the components of the ITIL Value System?

   A. Value streams, projects, releases, incidents, changes

   B. Guiding principles, governance, discover, deliver

   C. Products, services, customers, suppliers, partners

   D. Guiding principles, governance, value chain, management practices, continual improvement

3. What **BEST** describes a Service Level Agreement (SLA)?

   A. A legal contract between two vendors regulating financial penalties

   B. A documented agreement between a service provider and a customer that identifies services and their agreed levels

   C. An informal discussion between users and service providers about expectations

   D. A guideline document for internal IT teams without customer involvement